

Consequently, farm land prices fell also. Today an investment in farm land is considered conservative and any real growth is viewed as 10 or more years out. This can and will change again as the economy changes.

FARM LAND: Developed farm land was consistently one of the best investments in America during the decades of the '60s and '70s. It could well be a great investment again in the future. But if you're investing for growth, you need to realize there is a high degree of risk. The income potential of farm land is basically 0-2. Growth is probably about 6-7 over the next 10-15 years, and the risk of losing money is probably 3-4. I would say as an area of growth, it is a good risk investment, but only if you intend to leave your money there for a long period of time.

HOUSING: There have been no investments over the last 25 years that have been consistently better for the average investor than single-family rental houses. That doesn't mean that it will stay that way forever, but I can see no long-range trends away from rental housing. In fact, with the 1986 Tax Reform Act making multifamily housing such as apartments less attractive to investors, there will probably be fewer apartments built. That should place more value on rental housing.

In practical fact, housing costs are out of the price range of most average young couples. Since they have to live somewhere, most of them are going to rent, at least temporarily. One advantage of investing in rental housing is that you can do it with a relatively small initial down payment. If you take on the liability of a rental house, be sure not to accept surety for it. If the house won't stand for its own mortgage, pass it by.

Most rental housing generates income, but also offers tax shelter through depreciation, interest, taxes, and so on. The 1986 Tax Reform Act placed limits on what can be deducted for tax purposes against ordinary income, and it's entirely possible that future tax changes will affect real property even more. Still, I believe rental housing has a good promise of growth through the end of this century, barring an economic catastrophe.